PACLAND · Money and models, in plain words

What we checked, what we found, and what it means. One page, no jargon.

1 · The question

Every day somebody forecasts growth, inflation, jobs. The usual question is whether the forecast is clever. The useful question is whether it can be checked at all — and whether it beats the dumbest possible guess.

2 · What we did

We took six real models — a textbook one, the workhorse central banks use, a plain statistical one, the Atlanta Fed's published nowcast, and two reference points — and scored them all the same way. Every check uses data as it was published at the time, never today's revised numbers. That matters: scoring a forecast against numbers it never had is cheating by accident.

3 · What we found

- “Same as last time” is hard to beat for inflation. Our textbook model was 3% worse than simply guessing that inflation stays where it is. So was the same model using the published settings of the famous central-bank version. Being clever did not help.
- Simple statistics beat theory here. A plain statistical model beat the same-as-last-time guess by 14% at one quarter ahead, and by 37% at a year ahead.
- A professional nowcast wins clearly. The Atlanta Fed's GDPNow was four times better than the simplest guess at nowcasting GDP — and still three times better when scored against the revised figures.
- Some numbers cannot be measured from totals at all. There is a number in the model for how much prices respond to spare capacity. We asked: if the true value were 0.18, could our method find it? Fed perfect fake data, it answered 1.00. The totals simply do not contain the answer. More data will not help; different evidence will.
- The accounts add up; the inflation-adjusted version does not. Total spending equals households + business + government + trade, to within one part in ten thousand. But the version adjusted for inflation leaks, by up to 25 percentage points in 2020, because adjusted dollars are not addable — like adding a metre to a yard and calling it a total.

4 · What we built

Three gates, and all three have already refused something real. The null gate: no forecast is published without its same-as-last-time comparison. The identification gate: no estimate is published unless the method can first recover a known answer from fake data. The admissibility gate: no model gets a results table if it breaks the accounting rules.

5 · What it means

A verified-forecast label is now possible for any economic model: how many things it was checked against, whether it passes the accounting rules, and whether it beats the simplest guess. Nobody publishes that today. And the honest limit: we cannot give you a certified inflation number for next quarter. The exact part of economics is bookkeeping, and the interesting numbers are not recoverable from the totals. That is not for want of effort — it is what the data is.